ILLUSTRATIVE, BASED ON SAMPLE DATA · NOT A CLIENT RESULT · FICTIONAL COMPANY

PRE-SALE REVIEW · 12 MONTHS OF RECORDS · NOV 2025 - OCT 2026

Distributor Health Scorecard

Larkmoor Electrical Supply (fictional) · $12.8M revenue · 480 orders · 40 customers

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OVERALL GRADE
Confidence: medium

1. Revenue quality Concentration, repeat vs one-off, churn	4	Top 3 customers are **20%** of revenue. 2 of 40 customers bought Nov-Apr but not May-Oct. *Medium confidence. 12 months of orders only; no multi-year history.*
2. Margin integrity Margin trend, cost pass-through, pricing variance	3	Gross margin slipped from **24.2%** to **22.0%** across four quarters. *Medium confidence. Supplier price files not provided, so pass-through timing is untested.*
3. Freight and landed cost Carrier charges vs what customers were billed	2	**$40K-$59K a year** of carrier freight never billed back on orders where the price agreement allows it. **82 of 418** billable orders show nothing billed. *Medium-high confidence. Billable status taken from the price-agreement field provided.*
4. Owner dependency How much runs through one person	3	About **1 in 3** orders had pricing set by the owner personally. *Medium confidence. Based on the "price set by" field; no interviews.*
5. Financial hygiene Books-to-bank reconciliation	2	**2 of 12 months** show unexplained books-vs-bank gaps over $5,000 (Mar 2026, Aug 2026). *Low-medium confidence. Only where bank statements are provided.*

THE ONE FINDING THAT MATTERS

$40K-$59K annual freight leakage

$230.7K of carrier freight was paid in 12 months. On orders where the price agreement says freight is billable, $40.3K was never billed at all, and another $18.3K was under-billed. Each order traces to an exact row in the appendix.

A buyer could argue this is profit the seller never earned. At an *assumed* 4-5x earnings multiple, that is roughly **$160K-$290K** off the price. The multiple is an illustrative assumption, not a market statistic.

How to read this. Each category is scored 1-5 (green 4-5, yellow 3, red 1-2). The overall grade is Skilled Edge's own scale, not an industry standard: the five scores are averaged (here 2.8), rounded to the nearest letter (5=A ... 1=F), with a minus or plus when more than 0.15 below or above. Scores are reviewer judgments to prioritize questions; they are not a valuation or an audit opinion. Proof: Larkmoor_Sample_Data_Appendix.xlsx.

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PRE-SALE REVIEW · FINDING DETAIL

Freight charges with no matching customer billing

Larkmoor Electrical Supply (fictional) · Margin leakage and operating controls

What the records show

Measure (12 months)	Amount	Where to see it
Freight paid to carriers	$230,715	Orders tab, column F
Orders where freight is billable per price agreement	418 of 480	Orders tab, column H
Billable orders with nothing billed	82 (19.6%)	Summary tab
Low case: freight paid on those 82 orders	**$40,321**	**Summary, low case**
Under-billed (billed less than paid)	$18,308	Summary, partial case
High case: low + under-billed	**$58,629**	**Summary, high case**

Example trace: order SO-10002, customer CUST-006, carrier charge $1,574.35, billed to customer $0, freight billable = Y. (Orders tab, row 3.)

WHAT A BUYER WILL ASK

- Why was $230K of freight paid when part of it never reached a customer invoice?
- Is this a one-time slip or the run rate we are buying?
- What else is missing if freight billing is not controlled?

SELLER FIX BEFORE LISTING

- Review the 82 unbilled orders against the price agreements; rebill or document the exceptions.
- Add a billing check: carrier invoice to customer invoice, weekly.
- Prepare a one-paragraph explanation the broker can use.

What the review includes

- **Executive summary** of priorities and unresolved questions (page 1).
- **Findings linked to the records** reviewed, with confidence and limitations.
- **Corrective actions** with suggested owners, and a **prioritized 90-day plan**.
- **A review call** with the broker and seller to walk through findings and next steps.

Limits of this review

Findings cover only the records provided for the period reviewed. They show confidence and limitations, and they are not an audit, a valuation or legal, tax or accounting advice. Scope, records and limits are confirmed in writing before any work begins, and an NDA can be signed before any records are shared. Rebate and special-pricing claim gaps are noted where records show them; recovery work is scoped separately.